

Accounting Business and Society

Week 5

Tutorial A

Exercise 1



Background:

The following activity will give us the an opportunity to further understand commonbusiness transactions associated with the account receivables and how they are recorded under the accounting standards.

Task: Discussion of pre-class work

- What are account reccivables? What are the three situations in which account receivables need to be recorded?
- What are uncollectible account receivables or bad debt expenses? What are two methods use to record bad debt expense?

Activity

- 1.You will be working in pairs for this activity
 - 2.You and your peer are required to discuss and answer the following questions:
 - Question a : In what situation will Sale Return and Allowance be used?
 - Question b : In what situation will Salc Discount be used in recording?
 - 3.Each person in each pair is required to think of a real business situation (or business transaction) in which the business needs to use Sales Return and Allowance and Sales Discount in its recording.
 4. Using Excel to journalise the business situations in Step 3.
- Resources: Using Excel to journalise business transactions

Exercise 2



Background:

This activity will enable you to better understand the key differences between the Direct write-off method and the Allowance method of accounting for Bad debt expense.

Task:

1. You will be working with a different friend in a new pair for this activity.
2. Each of you will choose 1 method and will have 5 minutes to prepare and write down all important points of the method chosen.
3. After 5 mins, you are required to explain to your friend what you know about the method you chose.
4. You now think of a business situation with all details (date, amount etc...) and ask your peer to use your method to record for it, using Excel
5. Confirm the accuracy of your recording with the tutor.

Resources:

Using Excel to journalise the business transactions

Exercise 3



Background:

This activity will provide you an opportunity to understand how the account receivables and its contra-account -'Allowance for doubtful debts' are reported under the company's annual report in the practice.

Task:

You are required to access to Woolworths Group' annual report 2021 to be able to complete the following tasks:



1. How much is reported for Trade and other receivables in year 2021?
2. What notes from the financial statements provide detailed information on Trade and Other receivables?
3. Go to the Notes found in Q2 : What do Trade and Other receivables consist of?
4. What accounting choice is used to report Trade and Other receivables?
what accounting choice is used to report for Impairment of Trade and Others receivables?

Resources:

Woolworths Group's Annual Report 2021

Exercise 4



P5-55A. (Learning Objectives 2, 3, 4, 5: Apply GAAP for revenue, receivables, collections, and uncollectibles using the percent-of-sales method; account for notes receivable) This problem takes you through the accounting for sales, receivables, uncollectibles, and notes receivable for Bates Delivery Corp., the overnight shipper. By selling on credit, the company cannot expect to collect 100% of its accounts receivable. At October 31, 2016, and 2017, respectively, Bates Delivery Corp. reported the following on its balance sheet (in millions of dollars):

	October 31,	
	2017	2016
Accounts receivable	\$3,900	\$3,600
Less: Allowance for uncollectible accounts	<u>(160)</u>	<u>(230)</u>
Accounts receivable, net	\$3,740	\$3,370

During the year ended October 31, 2017, Bates Delivery Corp. earned service revenue and collected cash from customers. Assume uncollectible-account expense for the year was 4% of service revenue on account and that Bates Delivery wrote off uncollectible receivables and made other adjustments as necessary (see below). At year-end, Bates Delivery ended with the foregoing October 31, 2017, balances.



Requirements

1. Prepare T-accounts for Accounts Receivable and Allowance for Uncollectible Accounts, and insert the October 31, 2016, balances as given.
2. Journalize the following transactions of Bates Delivery Corp. for the year ended October 31, 2017 (explanations are not required):
 - a. Service revenue was \$32,900 million, of which 7% is cash and the remainder is on account.
 - b. Collections from customers on account were \$28,860 million.
 - c. Uncollectible-account expense was 4% of service revenue on account.
 - d. Write-offs of uncollectible accounts receivable were \$1,294 million.
 - e. On October 1, Bates Delivery received a 2-month, 7%, \$185 million note receivable from a large corporate customer in exchange for the customer's past due account; Bates Delivery made the proper year-end adjusting entry for the interest on this note.
 - f. Bates Delivery's October 31, 2017, year-end bank statement reported \$42 million of NSF checks from customers.
3. Post your entries to the Accounts Receivable and the Allowance for Uncollectible Accounts T-accounts.
4. Compute the ending balances for Accounts Receivable and the Allowance for Uncollectible Accounts and compare your balances to the actual October 31, 2017, amounts. They should be the same. How much does Bates Delivery expect to collect from its customers after October 31, 2017?
5. Show the net effect of these transactions on Bates Delivery's net income for the year ended October 31, 2017.

Exercise 5



P5-56A. (Learning Objective 4: Apply GAAP for uncollectible receivables) The September 30, 2017, records of First Data Communications include these accounts:

Accounts Receivable..... \$243,000
Allowance for Doubtful Accounts..... (8,200)

During the year, First Data Communications estimates doubtful-account expense at 1% of credit sales. At year-end (December 31), the company ages its receivables and adjusts the balance in Allowance for Doubtful Accounts to correspond to the following aging schedule.

Accounts Receivable	Age of Accounts			
	1–30 Days	31–60 Days	61–90 Days	Over 90 Days
\$231,000	\$134,000	\$45,000	\$16,000	\$36,000
Estimated percent uncollectible	0.2%	2%	15%	35%

Exercise 5



During the last quarter of 2017, the company completed the following selected transactions:

Nov 30 Wrote off as uncollectible the \$1,600 account receivable from Black Carpets and the \$600 account receivable from Rare Antiques.

Dec 31 Adjusted the Allowance for Doubtful Accounts and recorded doubtful-account expense at year-end, based on the aging of receivables.

Requirements

1. Record the transactions for the last quarter of 2017 in the journal. Explanations are not required.
2. Prepare a T-account for Allowance for Doubtful Accounts with the appropriate beginning balance. Post the entries from requirement 1 to that account.
3. Show how First Data Communications will report its accounts receivable in a comparative balance sheet for 2016 and 2017. Use the three-line reporting format. At December 31, 2016, the company's Accounts Receivable balance was \$215,000, and the Allowance for Doubtful Accounts stood at \$4,500.

Exercise 6



P5-58A. (Learning Objective 5: Apply GAAP for notes receivable) Hughes Foods completed the following selected transactions.

2016

- Oct 31 Sold goods to BiLo's Foods, receiving a \$36,000, three-month, 4.5% note. (You do not need to make the cost of goods sold journal entry for this transaction.)
- Dec 31 Made an adjusting entry to accrue interest on the BiLo's Foods note.

2017

- Jan 31 Collected the BiLo's Foods note.
- Feb 18 Received a 90-day, 7.00%, \$7,000 note from Dutton Market on account.
- 19 Sold the Dutton Market note to Seabrook Bank, receiving cash of \$6,800. (Debit the difference to financing expense.)
- Nov 11 Loaned \$15,600 cash to Sauble Co., receiving a 90-day, 9.50% note.
- Dec 31 Accrued the interest on the Sauble Co. note.

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Week 5

Tutorial B

Exercise 1

Background:

The students should have attempted the Account Receivables & Allowance Excel Spreadsheet before turning up the tutorial B this week

Task:

1. You now will be working in a pair with your mate to discuss and compare your solution on your Account Receivables & Allowance Excel Spreadsheet (10mins)
2. After discussion time, your pair might be requested to present the solution to the class.

Resources:

Account Receivables & Allowance Excel Spreadsheet

Exercise 2



Background:

The following activity will give you an opportunity to practise how to use the aging schedule to work out for expected allowance for bad debts and then bad debt expense for the year.

Task:

1. You are required to access to the Ageing approach for bad debts Excel Spreadsheet provided below for this activity.
2. With the information provided in the Comprehensive problem, you are required to complete Ageing schedule and Journal Excel Tab.

Resources:

Aging approach for Bad debt Excel Spreadsheet

Exercise 3



P5-53A. (Learning Objective 1: Apply GAAP to short-term investments) During the fourth quarter of 2016, Abbott, Inc., generated excess cash, which the company invested in trading securities as follows:

2016

Nov 16 Purchased 900 common shares as an investment in trading securities, paying \$9 per share.

Dec 16 Received cash dividend of \$0.35 per share on the trading securities.

Dec 31 Adjusted the trading securities to fair value of \$5 per share.

Requirements

1. Open T-accounts for Cash (including its beginning balance of \$19,000), Investment in Trading Securities, Dividend Revenue, and Unrealized Gain (Loss) on Trading Securities.
2. Journalize the foregoing transactions and post to the T-accounts.
3. Show how to report the short-term investment on Abbott's balance sheet at December 31, 2016.
4. Show how to report whatever should appear on Abbott's income statement for the year ended December 31, 2016.
5. Abbott sold the trading securities for \$6,300 on January 14, 2017. Journalize the sale.
6. Assume that the securities were classified as available-for-sale. Further, assume that the fair value was \$10 per share on December 31, 2017, and \$10.50 per share on January 1, 2018, when they were sold. Repeat steps 3–4 for 2016 and 2017, and journalize the sale of the securities on January 1, 2018. Follow the example in Exhibit 5-2.

Exercise 4

P5-60B. (Learning Objective 1: Apply GAAP to short-term investments) During the fourth quarter of 2016, Zinner, Inc., generated excess cash, which the company invested in trading securities as follows:



- Nov 17 Purchased 1,300 common shares as an investment in trading securities, paying \$9 per share.
- Dec 19 Received cash dividend of \$0.48 per share on the trading securities.
- Dec 31 Adjusted the trading securities to fair value of \$6 per share.

Requirements

1. Open T-accounts for Cash (including its beginning balance of \$15,000), Investment in Trading Securities, Dividend Revenue, and Unrealized Gain (Loss) on Trading Securities.
2. Journalize the foregoing transactions and post to the T-accounts.
3. Show how to report the short-term investment on Zinner's balance sheet at December 31, 2016.
4. Show how to report whatever should appear on Zinner's income statement for the year ended December 31, 2016.
5. Zinner sold the trading securities for \$10,400 on January 11, 2017. Journalize the sale.
6. Assume that the securities were classified as available-for-sale. Further, assume that the fair value was \$10 per share on December 31, 2017, and \$10.50 per share on January 1, 2018, when they were sold. Repeat steps 3–4 for 2016 and 2017, and journalize the sale of the securities on January 1, 2018. Follow the example in Exhibit 5-2.

Exercise 5

P5-57A. (Learning Objectives 1, 4, 7: Apply GAAP for short-term investments and uncollectible receivables; evaluate liquidity through ratios) Assume Williams & Sellers, the accounting firm, advises Ocean Mist Seafood that its financial statements must be changed to conform to GAAP. At December 31, 2016, Ocean Mist's accounts include the following:



Cash.....	\$50,000
Investment in trading securities, at cost.....	26,000
Accounts receivable.....	42,000
Inventory.....	62,000
Prepaid expenses	<u>11,000</u>
Total current assets	<u>\$191,000</u>
Accounts payable	\$66,000
Other current liabilities	<u>40,000</u>
Total current liabilities.....	<u>\$106,000</u>

The accounting firm advised Ocean Mist of the following:

- Cash includes \$18,000 that is deposited in a compensating balance account that is tied up until 2018.
- The market value of the trading securities is \$17,000. Ocean Mist purchased the investments a couple of weeks ago.
- Ocean Mist has been using the direct write-of method to account for uncollectible receivables. During 2016, Ocean Mist wrote off bad receivables of \$4,000. The aging of Ocean Mist's receivables at year-end indicated uncollectibles of \$26,500.
- Ocean Mist reported net income of \$94,000 in 2016.